



Qualification Programme Examination Panelists' Report

Module 13 – Business Assurance (June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This case involves auditing a biotechnology entity with substantial R&D expenditures that are geographically dispersed and largely funded by conditional government grants. Internal audit findings have disclosed risks related to the misclassification of costs, inaccuracy in timesheet records, and potential non-compliance with grant criteria amid pressure to achieve financial benchmarks. The audit requires collaboration with international component auditors, presenting challenges in communication and access to audit evidence. Candidates were required to evaluate risks of material misstatements, propose audit procedures, assess group audit challenges, and analyze independent threats from non-audit services engagements.

Specific Comments

Question 1(a) – 5 marks

This question required candidates to evaluate the risk of material misstatements related to R&D expenses, with a focus on the classification assertion. Most candidates were able to identify the relevant risk factors from the case background concerning misclassification pressures and inconsistencies.

Question 1(b) – 8 marks

This question required candidates to propose audit procedures to address the risk of material misstatements identified in Question 1(a). Candidates generally performed well by suggesting appropriate procedures for verifying project eligibility, testing internal controls, and ensuring the R&D capitalisation criteria.

Question 2(a) – 4 marks

This question required candidates to assess the risk of material misstatement concerning "Other income - government grants" in terms of the accuracy assertion. Candidates effectively identified risks related to compliance with grant conditions and appropriate recognition principles.



Question 2(b) – 6 marks

This question required candidates to propose audit procedures to address the risk of material misstatement identified in Question 2(a). While most candidates were able to suggest procedures such as inquiring with management and reviewing the contracts, few clearly outlined how to verify compliance with specific conditions. Some answers incorrectly focused on control environment or test of controls, which were not required, resulting in overly generic responses echoing learning pack content on internal controls.

Question 3 – 6 marks

This question required candidates to assess the proposal of continuing the prior year's arrangement with component auditors. Performance was poor as candidates often provided generic discussions on general requirements instead of addressing specific issues from the previous audit arrangement. Many failed to apply HKSA 600 (Revised) requirements on group auditors' responsibilities for direction, supervision, and performance. There was a lack of awareness regarding annual risk assessment and documentation requirements.

Question 4 – 15 marks

This question required candidates to draft a memo on audit considerations for planning, execution, and completion phases with component auditors. While most understood the required phases, responses lacked technical depth and often repeated points. Few referenced relevant auditing standards accurately and focused excessively on language barriers, neglecting broader engagement aspects like going concern assessments and subsequent event reviews. Candidates generally showed weak understanding of how to assess component auditors' work rather than performing the audit themselves, resulting in missing critical engagement considerations.

Question 5(a) – 3 marks

This question required candidates to evaluate the potential independence threat arising from advisory services on transfer pricing across countries. Candidates needed to identify risks such as self-review threats and propose measures. Candidates generally performed well.

Question 5(b) – 3 marks

This question required candidates to assess the independence implications of advisory services aimed at remediating internal audit findings. Candidates were expected to recognize self-review threats and propose measures. Candidates generally performed well.



(II) Section B – Essay/Short Questions

General Comments

Section B covers various audit focus areas including confirmation procedures and work done to address certain exceptional observations from the replied confirmations, in addition to auditing management estimates for the real estate sector which was facing economic downturn leading to increased audit risk. It also covers the IT control environments and corporate governance for enhancing entity's internal controls. It tested the candidates on risk assessment, control evaluations, and determination of audit procedures to address the identified risk.

Specific Comments

Question 6(a) – 5 marks

This question required candidates to advise under which conditions can negative confirmations be applied. This is to test the candidates' knowledge level. Majority of the candidates are able to score full marks. However, there are also many candidates who cannot score marks, which we believe is due to them not familiar with the knowledge.

Question 6(b) – 5 marks

This question required candidates to propose audit procedures where certain confirmations were not responded to, and certain confirmations were replied to but sent from a different address. Majority of the candidates were able to evaluate the underlying risk and able to propose appropriate audit responses to address these irregularities.

Question 6(c) – 5 marks

This question required candidates to advise the audit responses when they received confirmations from the senders with disagreements. The question has been added with complexity and candidates in general demonstrated appropriate responses. Very outstanding candidates were able to articulate the audit risk and provide a more comprehensive answer, scoring a higher mark.

Question 7(a) – 6 marks

This question required candidates to describe the IT general control of a medical clinic operation system. 2 marks each were given for the access control, manage change and the physical control. IT control is historically a weak area for the candidates; the results are generally fair, which is in line with expectations.



Question 7(b) – 6 marks

This question required candidates to describe the application controls of the same medical clinic. In general, the candidates were able to describe some application control, but not enough to score a satisfactory mark for this sub-question.

Question 8(a) – 5 marks

This question required candidates to evaluate the audit risk of a property developer in an adverse market condition where the property price has been dropping for some years. Majority of the candidates were able to demonstrate an appropriate risk assessment with adequate analysis.

Question 8(b)(i) – 4 marks

This question required candidates to evaluate the relevance, reliability and adequacy of the audit evidence obtained from the audit in respect of ascertaining the valuation assertion of certain remaining car parks where no sales were made in recent years. As this is a more complex situation, only a minority of candidates were able to demonstrate adequate analysis and score good results.

Question 8(b)(ii) – 4 marks

This question required candidates to evaluate the relevance, reliability and adequacy of the audit evidence obtained from the audit in respect to ascertaining the valuation assertion of certain constructions in progress where there is a lack of obvious market information while needing to rely on management estimation. Again, as the situation is more complex, only a minority of candidates were able to demonstrate their evaluation and scored good results.

Question 9 – 10 marks

This question required candidates to propose actions from the perspective of the Board of directors on corporate governance to address a break down of internal controls of a bank on loan grant. Majority of the candidates were unable to provide appropriate responses to address the issue identified from the question and the answers were more focused on the auditors' perspective, which was not relevant.

(III) Conclusion and Recommendation

This examination session assessed candidates' ability to apply auditing principles, group audit requirements, R&D expense considerations, IT controls, and corporate governance practices to practical, real-world scenarios. While candidates generally demonstrated sound technical knowledge and effectively referenced case-specific details, many found it challenging to provide deeper analysis and well-rounded recommendations.



While candidates generally demonstrated good understanding of risk identification and independence threats, many struggled with assessing group audit situations in depth and applying HKSA 600 (Revised) requirements for supervising component auditors. Responses were often generic rather than tailored to specific case challenges.

IT and corporate governance are still the weakest areas of the candidates. Although the questions related to IT are straightforward, candidates are still lacking practical experience and therefore unable to score satisfactory results. Regarding corporate governance, candidates should have learned more about the importance of setting a good corporate governance framework, which is also a critical matter to assurance.

Overall, candidates performed well in straightforward areas but need to improve their ability to handle complex group audit issues and provide detailed, practical audit procedures and recommendations. Enhanced preparation and emphasis on applying technical knowledge to dynamic, real-world scenarios will contribute to stronger future performance.